Systems Plus College Foundation

Mc Arthur Highway, Balibago, Angeles City, Philippines

Case 8

Greenwood Resources:

A Global Sustainable Venture in the Making

Submitted by:

Aliza Mae S. Jaime

Christian Lainne Briones

Suzanne Rivera

Tricia Nicdao

Jessa David

Submitted to:

Mr. Jay S. Dela Cruz, MBM

Greenwood Resources: A Global Sustainable Venture in the Making

Statement of the Problem

Background of the Case

Greenwood Resources was found in 1998 by Jeff Nuss and is molded a niche in the market by combining varietal forestry with intensive plantation management. Jeff Nuss's vision was to create a product that would last a lifetime; his experience in bio resources gave him the tools and knowledge to choose a product that would generate a competitive advantage. No other company was investing in sustainable forestry that's why he took the chance and firmly believed the market for sustainable forestry would one day flourish. Additionally, Jeff analyzed the market and knew how pricey and time-consuming sustainable forestry was, he knew nobody was going to invest in time or money for this industry. According to Dess et al (2018), demand conditions are products that are demanded by consumers driving other companies to create or improve innovative products, advance products, or services.

Greenwood Resources is a leading environmental tree plantation industry that specializes in asset management through high yield tree plantations. Greenwood struggled for over 10 years to generate high profits throughout its first years of operation. An investment opportunity opened doors for the company, and they established Green China Forestry Company.

The International Strategy of Greenwood Resources is to advance their products to appeal to international markets. China had a high yield potential for poplar tree farming. Therefore, excessive logging and deforestation made the tree industry more appealing to countries that were struggling with the demand in trees.

Main Problem

This study attempts to find evidence of Greenwood Resources: A Global Sustainable Venture in the Making. Moreover, clarity of the problem statement is important to maintain, in order to avoid the misunderstanding between the shareholders

and investors. All in all, the problem statement gives a direction to the organization in understanding the right solution path and development of the solution sets in order to overcome the current issues that are deteriorating the organizational performance or productivity.

The big poplar plantation in Oregon turned out to be complicated because of the differences in company strategies and culturally embedded mindsets. It must consider the disadvantages of the two particular jobs. Greenwood needs to continue and ensure its sustainability but then, they also recognized that the firm should reveal some improvement to its essential investor located in China. Jeff along with his top management team must optimize whether they need to recommend investing in one or both tasks.

Furthermore, Greenwood Resources have managerial issues such as:

- Lack of proper documentation of plant areas
- Weak intellect property protection
- Insufficient investment funds
- Social and Political risks
- Cultural challenge
- Economic Recession

Alternative courses of Action

Solution 1: Strategic Management

Advantage: In strategic management, it includes the strategies of every division and a strategy as a whole. Because critical decision making is crucial, in such manner, they would know if it is recommendable for them to invest in one of both tasks.

Disadvantage: They might lose the opportunity to expand and attract capital investors for not investing at the big poplar plantation.

Solution 2: Compliance to legal documents

Advantage: Compliance with laws to the land and forest resources are clearly expound and lawfully established.

Disadvantage: If this happens, the managerial issue may arise and might cause hassle and disruption to the company.

Solution 3: Work on capital investment

Advantage: Procurement of fund to sustain finances and avoids insufficiency moreover it helps the company to estimate which investment would yield the possible return.

Disadvantage: The company's operating cash flow might not be enough to cover anticipated costs. The company might resort to outside financing to cover up the internal shortfall.

Recommendation

With the above analysis, we, therefore, recommend alternative courses of action numbers 1 and 3.

These two actions propose strategic management and work on capital investment. Since thorough decision making must be made among the CEO and top management, for them to effectively ensure their sustainability. In addition, working on capital investment is essential for the company to operate simultaneously with no insufficiency of funds.

Mission

The mission of Greenwood Conservancy is to establish a refuge that will focus on the protection and improvement of existing habitat by maintaining a mix of open fields, woodlands and marshes.

The refuge will ensure the protection of indigenous wildlife, waterfowl, songbirds, and birds of prey; and will encourage the growth of native trees, plants and wildflowers.

It will permanently protect a large tract of land from development and will serve as an educational, visual and environmental resource.

Greenwood Resources' Technology is one of the most important way of being competitive in the highly competitive market arena. Not only this, it drives globalization, the factors include environmental and ecological aspects, and available services as well as products. An organization should innovate and be compatible with the technologies.